

completed form was to be returned only if the insurer tendered the policy limits, and because the insurer never accepted the demand, the form never came back.

The evidence does not show that Plaintiff knew Gaytan's name when he filed the complaint. Plaintiff's deposition testimony establishes that he spoke with the other driver at the scene and knew she was a woman. It does not establish that he learned her name. Plaintiff states without contradiction that the driver did not identify herself and that the only information she provided was insurance information listing Almanza. (Alqadhi Decl., ¶¶ 4-5.) The insurer's correspondence and the DMV registration likewise identified only Almanza. (Reed Decl., ¶¶ 9-10, Exhs. 4-5.)

The Declaration of Assets and Insurance does not change this conclusion. It shows that Gaytan identified herself as the driver on September 13, 2024. It does not show that Plaintiff or his counsel ever received it. Almanza offers no evidence that the completed form was returned to Plaintiff's counsel, and counsel states that it was not and that he first saw it as an exhibit to the demurrer. (Reed Decl., ¶¶ 4-5.) Once Plaintiff learned Gaytan's name from Almanza's interrogatory responses, he substituted her as Doe 1 within eight days.

Almanza has not shown by substantial evidence that Plaintiff knew Gaytan's name when he filed the complaint. The Doe amendment therefore relates back to April 16, 2025, and the claims against Gaytan are not barred by the statute of limitations.

Disposition

Almanza's purported demurrer is **OVERRULED**. Plaintiff shall prepare the order, serve the signed order, and file a notice of entry of order. Jacquelin Gaytan shall file a responsive pleading within ten (10) days after service of notice of entry of order.

7. 9:00 AM CASE NUMBER: C25-01564
CASE NAME: JULIE BRUCE VS. WILLIAM ANDERSON
SET ASIDE JUDGMENT AND FOR LEAVE TO DEFEND ACTION
FILED BY: ANDERSON, WILLIAM
TENTATIVE RULING:

Defendant William Anderson's Motion to Set Aside Default and Default Judgment is **GRANTED**.

Background

Plaintiff Julie Bruce and defendant William Anderson are former romantic partners who co-owned real property at 1170 Mills Place in Oakley. The property had belonged to the trust of Bruce's late mother. In November 2020, the trust sold the property to Bruce and Anderson for \$430,000, with title taken in both names. The price was covered by a loan and a credit from the trust. The closing statements label that credit a gift of equity. The credit was not cash. It represented equity the trust applied to the price instead of taking in payment. Bruce says she contributed \$165,000 of her inheritance to the purchase.

After the relationship ended, the parties agreed to sell the property. Thereafter, on May 23, 2025,

Bruce sent Anderson a demand letter seeking reimbursement of her \$165,000 contribution. On June 4, 2025, Bruce filed this action for partition of the sale proceeds, an accounting, and a constructive trust over \$165,000 in net proceeds. Anderson was personally served with the complaint on June 13, 2025. On June 20, 2025, both parties signed escrow instructions placing about \$150,000 of the anticipated proceeds in a holding account, to be released only on mutual instructions or court order, and the July 3 estimated closing statement directed \$141,715.04 to that account.

On July 7, 2025, the parties' real estate agent, Kimberly Barnett, texted Bruce that Anderson was on board with a 120/80 split of the proceeds in Bruce's favor but was asking that the November hearing in this case be canceled. The only matter then on calendar was a case management conference set for November 4, 2025. Barnett declares that Bruce confirmed she desired to move forward. On July 8, Barnett emailed the title company, copying Bruce at the email address listed on her complaint, stating that "Julie and William have settled and will not be having net proceeds sent to Green Escrow," that the holding account was canceled, and that the proceeds were to be distributed \$120,000 to Bruce and \$80,000 to Anderson, with the remainder divided 60/40. On July 10, Bruce signed an amended seller's closing statement carrying out those terms, and the sale closed.

Bruce did not dismiss the case. On November 4, 2025, she appeared at the case management conference and told the Court she had just submitted a proof of service with a default packet. Anderson did not appear. The clerk entered default on November 7, 2025. On November 13, 2025, the Court entered a \$45,000 damages judgment under Code of Civil Procedure section 585(d), based on Bruce's declaration that she had invested \$165,000 and recovered only \$120,000. Bruce served notice of entry of judgment by UPS on November 13, 2025 and a writ of execution issued November 26, 2025.

Anderson retained counsel on February 2, 2026, and filed this motion on May 11, 2026. Bruce filed an opposition on May 22, 2026, and a supplemental declaration on May 26, 2026. Anderson filed a reply on September 18, 2026.

Anderson moves under section 473.5 to set aside the default and default judgment and for leave to defend. He argues that because the parties settled before his responsive pleading was due, he had no actual notice that the action was going forward, and his failure to answer was not inexcusable neglect. In reply, he adds two grounds. The first is that a default obtained after a false promise of compromise is extrinsic fraud warranting relief under the Court's inherent equitable power. The second is that the \$45,000 damages judgment is void under sections 580 and 473(d) because the complaint demanded only equitable relief against the sale proceeds. He argues he acted with reasonable diligence and Bruce suffers no prejudice.

Bruce opposes the motion. She argues that Anderson was personally served and had actual notice of the action, so relief under section 473.5 is unavailable, and reliance on a realtor's characterization of an escrow payout as a settlement was inexcusable neglect. Bruce denies that any settlement occurred, pointing to the absence of a signed agreement or a stipulation under section 664.6 and to Barnett's lack of authority to compromise her claims, and she says her own later filings show she never treated the matter as resolved. Bruce also argues Anderson was not diligent, because he waited about 80 days after receiving notice of the judgment to retain counsel, and counsel then took about 99 more days to file this motion.

Discussion

There are four bases upon which a defendant may seek to set aside a default judgment: (1) relief for "mistake, inadvertence, surprise, or excusable neglect" under Code of Civil Procedure section 473, subdivision (b), (2) the default judgment was void as a matter of law, (3) lack of actual notice under Code of Civil Procedure section 473.5, subdivision (a), or (4) equitable relief for extrinsic fraud or mistake. (*Rappleyea v. Campbell* (1994) 8 Cal.4th 975, 981-982 (*Rappleyea*).)

Relief under section 473, subdivision (b), is unavailable. A motion to set aside a default must be filed within six months of entry of the default, and that deadline is jurisdictional. Default was entered on November 7, 2025, and this motion was filed on May 11, 2026.

Relief under section 473.5 is also unavailable. That section applies when service of a summons has not resulted in actual notice to a party in time to defend the action. Anderson was personally served with the summons and complaint on June 13, 2025, and does not contend that service failed to reach him or reached him too late to respond. He knew of the action with the full response period remaining. His contention is that he chose not to respond because he believed the matter had settled. That is an excuse for failing to defend, not an absence of notice.

That leaves the fourth ground, which does not depend on the deadlines that bar the first and third. Anderson's notice of motion identifies section 473.5 as the statutory basis for relief, and his equitable argument was developed in his reply. Where a notice states that the motion is made on the accompanying papers and the records of the court, and those papers and that record support a particular ground, the matter is properly before the court and a defect in the notice may be disregarded. (*Carrasco v. Craft* (1985) 164 Cal.App.3d 796, 808.) The notice here states the factual basis of the motion, that the parties settled and that Anderson did not know Bruce would seek a default notwithstanding the settlement, and states that the motion is made on the declarations, the memorandum, and the records of the Court. The moving papers set out the settlement communications and the July 10 distribution and argue that Bruce cannot in equity or at law both retain the settlement consideration and prosecute the claim it resolved. Bruce has responded to those facts in two declarations. The ground is properly before the Court.

Courts have "the inherent authority to vacate a default and default judgment on equitable grounds such as extrinsic fraud or extrinsic mistake." (*Bae v. T.D. Service Co. of Arizona* (2016) 245 Cal.App.4th 89, 97, citing *Rappleyea, supra*, 8 Cal.4th at p. 981; *Olivera v. Grace* (1942) 19 Cal.2d 570, 575.) Such a motion may be brought "'even though the statutory period [for relief under Code of Civil Procedure section 473, subdivision (b)] has run.'" (*Id.* at p. 98, quoting *County of San Diego v. Gorham* (2010) 186 Cal.App.4th 1215, 1229.) "Extrinsic fraud usually arises when a party is denied a fair adversary hearing because he has been 'deliberately kept in ignorance of the action or proceeding, or in some other way fraudulently prevented from presenting his claim or defense.'" (*Id.* at p. 97, quoting *Kulchar v. Kulchar* (1969) 1 Cal.3d 467, 471.) "In contrast, the term 'extrinsic mistake' is 'broadly applied when circumstances extrinsic to the litigation have unfairly cost a party a hearing on the merits.'" (*Id.* at pp. 97-98, quoting *Rappleyea, supra*, 8 Cal.4th at p. 981.)

Anderson frames his argument as extrinsic fraud, arguing that Bruce induced his default by a false promise of compromise. The Court does not reach that question, because these facts establish extrinsic mistake. Anderson's belief that the action had been resolved was induced by written

communications passing through the parties' shared real estate agent, and that belief cost him a hearing on the merits. The circumstances are extrinsic to the litigation, and the effect on Anderson is the same whatever Bruce understood at the time.

To obtain equitable relief, the moving party must show that he has a meritorious defense, that he has a satisfactory excuse for not presenting a defense to the original action, and that he was diligent in seeking to set aside the default once it was discovered. (*Rappleyea, supra*, 8 Cal.4th at p. 982.)

Anderson has shown a meritorious defense. He contends the parties reached and performed a settlement that resolved the claims pleaded in the complaint, and that Bruce's acceptance of the distribution and her signature on the July 10 statement constitute an accord and satisfaction. That defense, if proved, would bar the action. He also contends that the equities do not support the allocation Bruce seeks, pointing to his payment of the carrying costs on the property and to Bruce's acceptance of the larger share of the proceeds at sale. Bruce disputes Anderson's accounting, but she does not claim that he lacks a defense that could be presented.

Anderson has also shown a satisfactory excuse. Before any responsive pleading was due, Barnett relayed to Bruce that Anderson would agree to the 120/80 division on the condition that the November hearing be canceled. Bruce then abandoned the holding account she had agreed to a few weeks earlier, which was releasable only on mutual instructions or court order, was told in writing on July 8 that the parties "have settled," and signed the amended closing statement and took \$122,122.52 two days later. She does not deny receiving the July 8 email, and while she notes that her response to the July 7 text is not among the exhibits, she does not say what that response was. Anderson's belief that the action was over was reasonable, and his failure to answer followed from that belief. The record does not suggest indifference to the action.

Anderson has also acted with sufficient diligence. He received notice of entry of judgment on November 14, 2025, contacted counsel promptly, and was told that counsel could not take the matter and that he should seek other representation because he needed to act immediately. He searched for other attorneys and returned when none would take the case, retaining counsel on February 2, 2026. Bruce characterizes the delay as a want of diligence, but Anderson did not ignore the judgment. He sought counsel within days of learning of it and proceeded as the counsel he was able to retain advised. Counsel's trial and hearing obligations in other matters accounted for the time that followed.

In any event, diligence is not measured in isolation. "If heightened prejudice strengthens the burden of proving diligence, so must reduced prejudice weaken it." (*Rappleyea, supra*, 8 Cal.4th at p. 984.) Bruce identifies no prejudice. The property was sold and the proceeds were distributed, and Bruce retains the funds she received. Thus, Bruce is restored to the position she occupied before the default was entered.

Because the default is set aside and the judgment vacated on equitable grounds, the Court does not reach Anderson's alternative contention that the judgment is void.

Disposition

The motion is **GRANTED**, and the Court makes the following orders:

1. The default entered on November 7, 2025, is set aside and **VACATED**.
2. The default judgment entered on November 13, 2025, is **VACATED**.
3. Any and all writ(s) of execution and/or abstract(s) of judgment are hereby **VACATED, RECALLED and QUASHED**, including, but not limited to the writ of execution issued November 26, 2025.
4. If any abstract(s) of judgment were recorded, Plaintiff shall, within thirty (30) days of notice of entry of this order, take all reasonable steps to prepare and record with the County Recorder a release of the abstract(s) of judgment and any judgment lien thereunder, pursuant to Code of Civil Procedure section 697.400 and all applicable law. Thereafter, Plaintiff shall file and serve a Notice of Release of Lien.
5. Anderson shall file a responsive pleading no later than October 28, 2026.
6. Anderson shall prepare a proposed order consistent with this ruling, submit it to Bruce for approval as to form, and lodge it with the Court.

8. 9:00 AM CASE NUMBER: C25-02141
CASE NAME: RASSOUL MALBOUBI VS. CITY OF RICHMOND
2ND AMENDED COMPLAINT
FILED BY: CITY OF RICHMOND
TENTATIVE RULING:

Before the Court is a demurrer by defendants City of Richmond and Hector Lopez, City Senior Planner, to the first amended complaint. For the reasons set forth, the Court **SUSTAINS** the demurrer as set forth further below.

Background

In his operative second amended complaint ("2AC"), Plaintiff alleges he is the owner of a duplex located at 815-831 24th Street in Richmond (the "Property"). (2AC ¶ 4.) The Court has detailed Plaintiff's underlying factual allegations in its two prior rulings on the defendants' demurrers to the original complaint and the first amended complaint ("FAC"). (1/27/2026 Order; 7/13/2026 Order.)

In the 2AC, Plaintiff's allegations reiterate and expand on the history of the application process, including lengthy allegations regarding his communications with defendant Lopez, a city planner who retired shortly after Plaintiff filed this lawsuit, various utilities, and others. (2AC ¶¶ 1, 3-42, 50, 51, 59-75.) Much of that history was set forth in great detail in the Court's ruling on the demurrer to the FAC. (7/13/2026 Order.)

In summary, Plaintiff alleges he initially applied to the City for approval of a lot split for the Property, but he later modified his application to ask the City to approve a condominium conversion for the two-unit Property. He alleges that he submitted an application on November 25, 2024 for a condominium conversion (2AC ¶ 22 and Exh. I, which is dated November 26, 2024 and refers to "splitting the duplex to 2 separate [sic] condo or town house), but that the City "altered" the application, in the version in the City's records is largely blank, though the signature appears. (2AC ¶¶ 23-27 and Exh. J.) The City planning department later continued to treat his application as one for a